

PT INDOSAT Tbk.

(Formerly PT Indonesian Satellite Corporation Tbk)

Telecommunication

Head Office Indosat Building
Jl. Medan Merdeka Barat No. 21, Jakarta 10110
Phone (021) 3000-3001, 386-9615
Fax (021) 3000-3757
Telex: 45367, 44046 (INDSAT IA)
E-mail: publicrelations@indosat.com
Website: http://www.indosat.com

Business International Telecommunication Service

Company Status BUMN

Financial Performance: The Company recorded net income in 2010 at IDR 647 billion, or decreased from IDR 1.498 trillion recorded in 2009.

Brief History: The company was founded in 1967 by America Cable & Radio Corporation, a subsidiary of international Telephone and Telegraph (ITT) USA. In 1980, the Government of Indonesia took over all equities, making the corporation a state owned enterprise of limited liability. The company links callers in Indonesia with 240 countries around the globe through four international gateway: one each in Jakarta, Medan, Batam and Surabaya. Services include telephone calls, telex, telegrams, data packet switching, facsimile store and forward, inmarsat mobile communications, leased lines, video conferencing and television channels. The company holds interests in four other companies. Asean Cableship Pte. Ltd. (ACPL), 16.7% of whose shares are owned by Indosat, is a company operating in the laying and maintenance of submarine cables; PT Aplikasi Lintas Artha, in which Indosat has 18.8 % shares, is a direct data communications and data packet switching company founded in corporation with PT Telkom; PT Satelindo, in which Indosat holds 7.5% of shares, operates in satellite communications, cellular telephone and international telecommunications. The company also owns 15% shares of PT Bangtelindo, a company operating in construction design and management services for telecommunications facilities, and 35% shares of PT Telekomunikasi Seluler (Telkomsel) as a joint venture between PT Telkom, Setdco Megacell Asia and PTT Telecom BV Belanda, which provides cellular GSM services. The company has overseas shares investments in Sugunami TV Cable and Production House (Japan), domestic telecommunication carrier, Camintel SA (Cambodia) and the USA-Global Link. On October 2, 1997, the company purchased convertible bonds worth Rp 150 billion from PT Citra Televisi Pendidikan Indonesia (CTPI). The bonds will mature in five years and have a coupon rate of 7%, which can be converted later into PT CTPI shares. Therefore, the company's share in CTPI will amount to 30%. Through subsidiary, PT Sisindosat, PT Indosat became part of the Iridium global satellite consortium in October last year. With a 10% stake in the consortium, Indosat will provide satellite services in Indonesia. In March 1999 Indosat forged an alliance with Citibank N.A. to launch the Credit Card Calling Service (CCCS), a credit card that can be used to make international telephone calls. In May this year, the company plans to purchase a majority shareholding in PT Excelcomindo Pratama, the third cellular phone operator in Indonesia to apply GSM technology. Brief: As of March 21, 2007, the status of the company changed from a state owned enterprise to a foreign investment company as a consequence of the divestment of 41.91% government-owned shares to ST Telemedia (STT) through the special purpose vehicle, Indonesia Communication Ltd. (ICL).

Shareholders

Qatar Telecom (Qtel Asia) Pte., Ltd.	65.00%
Government of Indonesia	14.29%
SKAGEN Funds (SKAGEN AS)	5.57%
Public	15.14%

Summary of Financial Statement

	(Million Rupiah)		
	2008	2009	2010
Total Assets	51,693,323	55,041,487	51,837,414
Current Assets	9,691,773	7,139,627	6,158,854
of which			
Cash on hand and in banks	5,737,866	2,835,999	2,075,270
Trade receivables	1,357,620	1,356,697	1,548,426
Inventories	241,991	112,260	105,885
Non-Current Assets	42,001,550	47,901,860	45,678,560
of which			
Fixed Assets-Net	38,394,073	44,428,807	43,571,010
Deferred Tax Assets-Net	68,445	85,812	95,018
Investments	3,430	3,152	2,730
Other Assets	752,822	100,004	77,675
Liabilities	33,994,764	36,753,204	34,581,701
Current Liabilities	10,675,245	13,071,234	11,946,853
of which			
Trade payable	608,754	537,476	645,505
Taxes payable	268,891	161,820	169,445
Accrued expenses	1,512,533	1,525,561	1,710,885
Non-Current Liabilities	23,319,519	23,681,970	22,634,848
Minority Interests in Subsidiaries	288,938	330,593	385,840
Shareholders' Equity	17,409,621	17,957,690	17,850,646
Paid-up capital	543,393	543,393	543,393
Paid-up capital			
in excess of par value	1,546,587	1,546,587	1,546,587
Retained earnings	15,319,641	15,867,710	15,760,666
Revenue	18,659,133	18,824,186	19,796,515
Operating Expenses	13,925,854	15,611,171	16,322,571
Operating Profit	4,733,279	3,213,015	3,473,944
Other Income (Expenses)	(2,408,164)	(981,022)	(2,392,127)
Profit before Taxes	2,325,115	2,231,993	1,081,817
Profit after Taxes	1,878,522	1,498,245	647,174
Per Share Data (Rp)			
Earnings per Share	346	276	119
Equity per Share	3,204	3,305	3,285
Dividend per Share	173	n.a	60
Closing Price	5,750	4,725	5,400
Financial Ratios			
PER (x)	16.63	17.14	45.34
PBV (x)	1.79	1.43	1.64
Dividend Payout (%)	50.04	n.a	50.00
Dividend Yield (%)	3.01	n.a	1.10
Current Ratio (x)	0.91	0.55	0.52
Debt to Equity (x)	1.95	2.05	1.94
Leverage Ratio (x)	0.66	0.67	0.67
Operating Profit Margin (x)	0.25	0.17	0.18
Net Profit Margin (x)	0.10	0.08	0.03
Total Assets Turnover (x)	0.36	0.34	0.38
ROI (%)	3.63	2.72	1.25
ROE (%)	10.79	8.34	3.63

PER = 26.64x ; PBV = 1.49x (June 2011)

Financial Year: December 31

Public Accountant: Purwanto, Sarwoko & Sandjaja (2009);

Purwanto, Suherman & Surja (2010)

	(million rupiah)	
	2011	2010
Total Assets	50,896,328	53,386,324
Current Assets	5,623,263	6,616,883
Non-Current Assets	45,273,065	46,769,441
Liabilities	32,291,734	35,551,667
Shareholders' Equity	18,604,594	17,488,484
Net Sales	10,049,455	9,661,789
Profit after Taxes	716,635	324,350
ROI (%)	1.41	0.61
ROE (%)	3.85	1.85
In June		

Board of Commissioners

President Commissioner

H.E. Sheikh Abdullah Bin Mohammed Bin Saud Al Thani

Commissioners Parikesit Suprpto, Rionald Silaban,
Richard Fansworth Seney, Chris Kanter,
Rachmad Gobel, Soeprapto S.IP,
George Thia Peng Hoek, Alexander Rusli,
Dr. Nasser Mohd. A. Marafin

Board of Directors

President Director Harry Sasongko Tirtotjondro

Directors Fadzri Sentosa, Hans C. Moritz, Curt Stefan Carlsson,
Laszio Imre Barta

Number of Employees 5,210

No	Type of Listing	Listing Date	Trading Date	Number of Shares per Listing	Total Listed Shares
1	Negara RI (Seri A)	19-Oct-94	19-Oct-94	1	1
2	Negara RI (Seri B) (C/ L)	19-Oct-94	22-May-94	673,074,999	673,075,000
3	First Issue	19-Oct-94	19-Oct-94	103,550,000	776,625,000
4	First Issue (LN)	19-Oct-94	19-Oct-94	258,875,000	1,035,500,000
5	Stock Split	18-Mar-04	18-Mar-04	4,142,000,000	5,177,500,000
6	Option Conversion	10-Nov-04	10-Nov-04	7,763,500	5,185,263,500
7	Opsi Conversion	10-Dec-04	10-Dec-04	693,000	5,185,956,500
8	Option Conversion	2005	2005	70,054,500	5,256,011,000
9	Option Conversion	4-Jan-06	4-Jan-06	21,694,500	5,277,705,500
10	Option Conversion	4-Feb-06	4-Feb-06	1,094,000	5,278,799,500
11	Option Conversion	4-Mar-06	4-Mar-06	593,500	5,279,393,000
12	Option Conversion	4-Apr-06	4-Apr-06	8,578,500	5,287,971,500
13	Option Conversion	4-May-06	4-May-06	5,360,000	5,293,331,500
14	Option Conversion	4-Jun-06	4-Jun-06	8,746,000	5,302,077,500
15	Option Conversion	03-Jul-06	31-Jul-06	25,406,500	5,327,484,000
16	Option Conversion	01-Aug-06	02-Aug-06	7,207,000	5,334,691,000

Underwriters PT Merrill Lynch, PT Danareksa Sekuritas, PT Mandiri Sekuritas

Stock Price, Frequency, Trading Days, Number and Value of Shares Traded and Market Capitalization

Month	Stock Price			Shares Traded		Frequency	Trading Day	Listed Shares	Market Capitalization (Rp Million)
	High (Rp)	Low (Rp)	Close (Rp)	Volume (Thousand Shares)	Value (Rp Million)				
January-10	5,850	4,650	5,600	217,949.00	1,116,771.00	12,000	20	5,334,691,000	30,430,028.00
February-10	5,600	4,925	5,100	50,875.00	263,860.00	4,751	19	5,334,691,000	27,713,061.00
March-10	6,350	5,050	5,500	78,888.00	450,233.00	7,378	22	5,334,691,000	29,886,634.00
April-10	6,200	5,550	5,900	58,623.00	349,884.00	4,765	21	5,334,691,000	32,060,208.00
May-10	5,950	4,625	5,150	66,447.00	349,014.00	5,868	19	5,334,691,000	27,984,758.00
June-10	5,200	4,775	4,950	75,990.00	381,899.00	5,096	22	5,334,691,000	26,897,971.00
July-10	5,050	4,100	4,850	95,758.00	472,731.00	7,734	22	5,334,691,000	26,354,577.00
August-10	4,900	4,325	4,400	97,257.00	447,277.00	9,624	21	5,334,691,000	23,909,307.00
September-10	5,600	4,375	5,500	118,346.00	607,880.00	10,306	17	5,334,691,000	29,886,634.00
October-10	6,500	5,500	6,000	85,097.00	511,371.00	6,206	21	5,334,691,000	32,603,601.00
November-10	6,100	5,250	5,400	64,819.00	372,301.00	4,831	21	5,334,691,000	29,343,241.00
December-10	5,850	5,000	5,400	84,303.00	451,240.00	8,521	20	5,334,691,000	29,343,241.00
January-11	5,650	4,825	4,875	100,334.00	512,502.00	9,201	21	5,334,691,000	26,490,426.00
February-11	5,150	4,775	5,050	54,318.00	269,681.00	5,259	18	5,334,691,000	27,441,364.00
March-11	5,450	4,925	5,300	64,877.00	333,085.00	8,008	23	5,334,691,000	28,799,848.00
April-11	5,500	5,150	5,350	77,352.00	410,985.00	6,218	20	5,334,691,000	29,071,544.00
May-11	5,500	5,150	5,250	36,799.00	194,440.00	5,099	21	5,334,691,000	28,528,151.00
June-11	5,250	5,000	5,100	59,498.00	305,549.00	5,611	20	5,334,691,000	27,713,061.00

Stock Price and Traded Chart

